

ADVANTAGE Daily Drilling Fluids Report - 32



INTEQ

Rpt Date 08/Aug/2006		Well Name/No Bilabri D 2		Section Name/No 17-1/2" Section #3		Mud System AQUA-DRILL	
Job# 1		Spud Date 05/Jul/2006		MD 1636.00 m		Progress 0.00 m	
Operator Peak Petroleum Indust. Limited		Company Rep Robert Montgomery/Chris Newton		Contractor Dolphin Drilling Ltd		Contractor Rep Paul Sheppard/Nolan Troy	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Drilling Assembly			Casing			Volumes	Pump Information						
Bit Gauge in	Mfr	Bit Model	OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
0				19 1/2	178.00	Total Hole	Continental Ensco FA-1600	7	12.00	94.0	0.1342	0	
Drill Collars				28	269.00	1566.3	Continental Ensco FA-1600	7	12.00	94.0	0.1342	0	
OD in	ID in	Length m	OD in	ID in	Length m	Active Pits	Continental Ensco FA-1600	7	12.00	94.0	0.1342	0	
			5	4.276	175.00	302							
						Tot Active							
						1868.3							
						In Storage	Circulation Times						
						340	Surface to Bit	min/stks			Total System	min/stks	
							Bottoms Up	min/stks					

Mud Properties				Max Ann Velocity		Hole Information			
Property	Fluid Spec	1	2	3	AV Riser	ft/min	Standpipe Pressure	0 psi	Water Depth
Sample From		Active Pit	Active Pit		AV Casing	ft/min	Hole Flow	USgal/min	Riser Booster Rate
Check Time		06:00	20:00		AV Open Hole	ft/min	Solids Analysis		
MD m		1636.00	1636.00		Vc Open Hole	ft/min	Property	1	2
TVD m		1636.00	1636.00		Vc Drill Pipe	ft/min	LGS %	2.83	2.28
Bit Depth m		1622.00	1622.00		Min Ann Velocity		LGS lb/bbl	25.81	20.75
Inc deg		1.39	1.39		AV Riser	ft/min	HGS %	0.00	0.00
Density ppg		9.25	9.10		AV Casing	ft/min	HGS lb/bbl	0.00	0.00
Funnel Visc. sec/quart		42.0	38.0		AV Open Hole	ft/min	Bentonite %	0.00	0.00
Flow Line Temp degF		98.0			Bit Information		Bentonite lb/bbl	0.00	0.00
Test Temp degF		85.0	80.0		Size		Drill Sol %	2.83	2.28
Rheol Temp degF		120.0	120.0		Hours On Bit		Drill Sol lb/bbl	25.81	20.75
PV cP		12	11		Bit Number		Avg Dens Sol sg	4.2011	5.0568
YP lbf/100ft^2		17	16		BHA Number		Rheology		
10sec Gel lbf/100ft^2		5	4		Depth In		600 RPM	41	38
10min Gel lbf/100ft^2		6	5		Bit RPM		300 RPM	29	27
API Filtrate cc		5.4	6.0		WOB		200 RPM	22	20
API Cake in/32		2.0	2.0		Nozzles		100 RPM	17	14
pH		9	8.8		Bit Hydraulics		6 RPM	5	4
Pm		0.25	0.22		TFA		3 RPM	4	3
PF		0.05	0.02		Nozzle Vel	ft/sec			
MF		0.56	0.42		Bit Press Loss	psi			
Excess Lime lb/bbl		0.1	0.1		HHP / Area	HP/in^2	Hydraulic Analysis		
Hardness mg/l		320.0	480.0		HHP	%	Behavior Index (n)		
Chlorides mg/l		63000	54000				Consistency Index (k)		
K mg/l		31425	26249				#sec^n/100ft^2		
NaCl mg/l		57095	49962				ECD @ Bit Depth		
KCl mg/l		59918	50049				ppg		
MBT lb/bbl		12.0	10.0				ECD @ Casing Shoe		
Retort Water %		95.0	96.0				ppg		
Sand %		0.75	0.50				Fluid Comments/ Recommendations		
Retort Solids %		5.0	4.0				Run 13-8" csg smoothly to btm & circ while rounding up pits cleaning for cmt mix water. Flushed all required surface & mixing lines through to cmt unit. Prepared cmt mix water as per BJ cementer instructions & supervisions. Supplied same to cmt unit for & during cmt job. Took as much returns of mud from cmt job as much as available pits space could accommodate & dump the rest of mud returns. Problem with cmt unit before end of cmt job. Cut back average of 9.25 ppg mud on surface to 9.1 ppg with seawater as per orders to meet volume demands to circulate out cmt from hole. Subsequent returns were cut back to 9.1 ppg on the fly while monitoring cmt returns at the flow line. Had total loss of returns before cmt could come to surface.		
Corrected Solids %		1.3	0.8				Drilling Comments		
							Run 13-3/8" csg hanger f/derrick, M/U to string & RIH w/5" DP landing string f/1441 t/1609m. Run cmt std t/string. M/U TDS, activate compensator & land hanger on 20" w/head @ 1622m. Circ hole while mix cmt water. Press test cmt lines t/3500 psi. Mix & pump cmt as per program. BJ unit failed. Circ cmt out of hole, 72 SPM, 750 psi, rising to 1150 psi. Total loses. Pressure drop to 800 psi - shut down. Apply 3500 psi to seal assy & set same - test t/5000 psi. Circ through C/K lines. Flush BOP, disconnect hanger R/tool, pump & flush BOP & riser through string w/seawater. POOH R/T f/173m t/surface. M/U et sub & RIH t/173m & jet W/head & BOPs. Displace seawater to mud. Close UPR & establish injection rates. POOH & L/D jet sub. RIH 6 stds HWDPS, P/U W/bushing. Shut down operation due to security issues.		

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 1
Waboso Peter/Ayo Okomayin	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	900.00 USD	579637.66 USD	242628.11 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.

ADVANTAGE Daily Drilling Fluids Report - 32



INTEQ

Rpt Date 08/Aug/2006		Well Name/No Bilabri D 2		Section Name/No 17-1/2" Section #3		Mud System AQUA-DRILL	
Job# 1	Spud Date 05/Jul/2006		MD 1636.00 m		Progress 0.00 m		Present Activity Tripping
Operator Peak Petroleum Indust. Limited		Company Rep Robert Montgomery/Chris Newton		Contractor Dolphin Drilling Ltd		Contractor Rep Paul Sheppard/Nolan Troy	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	
Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	0.0	2 x 210	0.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	0.0		0.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	0.0		0.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	0.0		0.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
				Total Volume Lost	0	0	
Volumes							
Additions bbl		Losses bbl		Total Volumes bbl			
Mud Added	Weight Materials	Downhole	150	Left In Pit	Starting Volume	2254.4	Riser w/o Pipe 213.3
Brine	Water 470	Cased Off		Trip Losses	Daily Additions	470	Casing w/o Pipe 329.9
Base Fluid	Product	Left In Hole		Injected	Daily Losses	516	Open Hole w/o Pipe 1148.8
Recycled	Other	Discharged	356	Spill To Environment	Ending Volume	2208.4	String Displacement 125.7
		SCE		Onshore Disposal	Net Change	-46.0	String Capacity 713.2
		Evaporation		Returned			Total Hole w/ Pipe 1566.3
		Other Losses	10				Total Active 1868.3
							Total Reserve 340.0
IADC Hours							
Run Casing		3	Circulate	11	Cementing	4	Tripping 4
Miscellaneous		2					
BHDF Fluids Rep		BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost
Waboso Peter/Ayo Okomayin		234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	900.00 USD	579637.66 USD
							Inventory Value 242628.11 USD
							Page 2

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.

ADVANTAGE Daily Drilling Fluids Report - 32



INTEQ

Rpt Date 08/Aug/2006		Well Name/No Bilabri D 2		Section Name/No 17-1/2" Section #3			Mud System AQUA-DRILL										
Job# 1	Spud Date 05/Jul/2006		MD 1636.00 m		Progress 0.00 m		Present Activity Tripping										
Operator Peak Petroleum Indust. Limited		Company Rep Robert Montgomery/Chris Newton		Contractor Dolphin Drilling Ltd		Contractor Rep Paul Sheppard/Nolan Troy											
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN									
Primary Currency USD			Secondary Currency			Totals USD											
Daily Product Cost 0.00			Daily Product Cost 0.00			Primary Product 545887.66											
Daily Tax 0.00			Daily Tax 0.00			Secondary Product 0.00											
Debit/Credit 0.00			Debit/Credit 0.00			Primary Engineering 33750.00											
Daily Engineering Cost 900.00			Daily Engineering Cost			Secondary Engineering 0.00											
Total Daily Cost 900.00			Total Daily Cost 0.00			Primary Total 579637.66											
Total Inventory Value 242628.11			Total Inventory Value 0.00			Secondary Total 0.00											
						Deck Load 323.27		UK ton									
Products and Services																	
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl							
Bulk																	
BARITE - Imported	1000 kg	258						258	1.56	0.31							
Oil Based Product																	
MIL-LIME	25 kg	80						80									
Water Based Product																	
AQUA-COL D	55 USgal																
CALCIUM CHLORIDE (97%)	50 lb	2						2									
CAUSTIC SODA	25 kg	17						17	0.47	0.14							
CITRIC ACID MONOHYDRATE	25 kg	6						6									
DRISPAC LV	25 kg	7						7	1.13	0.72							
MIL-PAC R	25 kg	127						127	0.78	0.33							
MIL-PAC LV	25 kg	55						55	0.42	0.17							
NEW-DRILL PLUS	55 lb	115						115	1.76	0.77							
POTASSIUM CHLORIDE	25 kg	160						160	15.01	6.62							
POTASSIUM CHLORIDE BRINE	1 bbl	244						244	89.57	45.58							
PROTECTOMAGIC M	25 kg	68						68	0.07	0.08							
SODA ASH	25 kg								1.52	0.98							
XANTHANGUM D	25 kg	68						68	0.79	0.23							
XCIDE 102	55 USgal								0.12	0.13							
LCM																	
CALCIUM CARBONATE - FINE	25 kg	40						40	0.24	0.04							
CALCIUM CARBONATE - MED	25 kg	60						60	0.60	0.14							
KWIKSEAL - MEDIUM	50 lb	39						39	0.41	0.11							
MIL-PLUG FINE	50 lb	84						84									
MIL-SEAL MEDIUM	50 lb	90						90									
SOLUFLAKE F	50 lb	78						78									
Other																	
SOLTEX	25 kg								1.94	0.80							
BHDF Fluids Rep Waboso Peter/Ayo Okomayin		BHDF Rep Phone 234-803-402-0440		Warehouse Onne		Warehouse Phone 234-84-462609		Coordinator Lawson Ogaree		Daily Cost 900.00 USD		Cumulative Cost 579637.66 USD		Inventory Value 242628.11 USD		Page 3	
Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.																	